

Which of the following is not an objective of Management accounting?

- ☐ A. To provide information for costing of services, products, and other objects of interest to management.
- ☐ B. To provide information for decision making.
- ☐ C. To provide information for planning, controlling, evaluating and continuous improvement.
- ☒ D. To prepare external reports for investors, creditors, government agencies, and other outside users.

Ben Furniture Company manufactures furniture at its Florence, Italy factory. Some of its costs from the past year include:

Depreciation on sales office	\$ 11,000
Depreciation on factory equipment	\$ 16,000
Factory supervisor salary	\$ 52,500
Sales commissions	\$ 23,000
Lubricants used in factory equipment	\$ 3,000
Insurance costs for factory	\$ 21,000
Wages paid to factory maintenance workers	\$ 115,000
Fabric used to upholster furniture	\$ 7,000
Freight – in (on raw materials)	\$ 2,500
Costs of delivery to customers	\$ 9,000
Wages paid to assembly – line workers	\$ 132,500
Lumber used to build product	\$ 72,000
Utilities in factory	\$ 44,500
Utilities in sales office	\$ 26,500

Manufacturing overhead costs for Ben Furniture Company totaled:

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- ☐ A. \$324,000.
- ☐ B. \$228,000.
- ☒ C. \$252,000.
- ☐ D. \$122,000.

Which of the following is an example of a manufacturing overhead expense (an indirect product cost) in a factory?

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- ☐ A. Wages of administrators in the corporate office
- ☐ B. Wages of machine operators
- ☒ C. Wages of factory maintenance personnel
- ☐ D. Salaries of salespersons

Indirect manufacturing costs should be included in manufacturing overhead.

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True



False

Product costs for a manufactured product include

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- ☐ A. The costs of direct materials and direct labor only.
- ☐ B. Marketing and research and development costs.
- ☒ C. The costs of direct materials, direct labor and manufacturing overhead.
- ☐ D. None of the above.

Aspen Apparel Company reports the following data for its first year of operation.

Cost of goods manufactured	\$156,100
Work in process inventory, beginning	0
Work in process inventory, ending	90,200
Direct materials used	85,700
Direct Labor	60,000
Manufacturing overhead	100,600
Finished goods inventory, beginning	0
Finished goods inventory, ending	70,200

What is the cost of goods sold?



- ☐ A. \$156,100
- ☒ B. \$85,900
- ☐ C. \$160,600
- ☐ D. \$342,400

Selected financial information for Delicious Food Producers is presented in the following table (000s omitted).

Beginning raw materials inventory	\$370
Ending raw materials inventory	\$230
Direct labor	\$370
Operating expenses	\$670
Purchases of direct materials	\$420
Beginning work in process inventory	\$350
Ending work in process inventory	\$630
Sales revenue	\$4,800
Manufacturing overhead	\$810
Beginning finished goods inventory	\$280
Ending finished goods inventory	\$330

What was operating income?

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- ☐ A. \$3,170
- ☒ B. \$2,720
- ☐ C. \$4,800
- ☐ D. \$4,060

Alexandra Corporation had actual manufacturing overhead costs for the most recent year of \$27,500. Manufacturing overhead is allocated using a predetermined manufacturing overhead rate of \$1.75 per direct labor hour. Direct labor cost is \$18 per hour. At the end of the year, Alexandra Corporation found it had overallocated manufacturing overhead by \$1,000. How much manufacturing overhead was allocated in total during the year?

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- ☐ A. \$26,500
- ☒ B. \$28,500
- ☐ C. \$27,500
- ☐ D. \$1,000

When work-in-process inventories increase during the period (the ending balance is greater than the beginning balance), what can be said of the relationship between total manufacturing costs and the cost of goods manufactured? (Assume no change in per unit costs.)

- ☐ A. Nothing can be said without additional information
- ☐ B. Cost of Goods Manufactured are greater than the Total Manufacturing Cost
- ☐ C. They are equal.
- ☒ D. Total Manufacturing Costs are greater than the Cost of Goods Manufactured

Actual and normal costing are similar in their accounting for

- ☐ A. direct labor and manufacturing overhead costs.
- ☒ B. direct material and direct labor costs.
- ☐ C. direct material and manufacturing overhead costs.
- ☐ D. all of the above

A job costing system can be used by which types of companies?

- ☐ A. Service and merchandising businesses
- ☐ B. Manufacturing and merchandising businesses
- ☐ C. Service and manufacturing businesses
- ☒ D. Service, manufacturing, and merchandising businesses

At a manufacturing company, inventory flows from work in process inventory, to raw materials inventory, to finished goods inventory.

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☐ True

☒ False

Global Manufacturing uses job costing. In May, material requisitions were \$44,000, and raw material purchases were \$58,600. The end of month balance in raw materials inventory was \$25,200. What was the beginning raw materials inventory balance?

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- ☐ A. \$44,600
- ☒ B. \$10,600
- ☐ C. \$24,600
- ☐ D. \$72,600

If manufacturing overhead has been overallocated during the period, and most of the jobs produced have been sold, then

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- ☒ A. Cost of Goods Sold on the income statement should be decreased.
- ☐ B. Cost of Goods Sold on the income statement should be increased.
- ☐ C. finished goods inventory should be increased.
- ☐ D. work in process inventory should be decreased.

Manufacturing overhead is underallocated if the amount

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- ☐ A. estimated for the period is greater than the actual amount incurred.
- ☒ B. allocated during the period is less than the actual amount incurred.
- ☐ C. allocated during the period is greater than the actual amount incurred.
- ☐ D. estimated for the period is less than the actual amount incurred.

Compared to a unit-based cost system (i.e. plantwide) an ABC cost system will improve costing accuracy when:

- ☐ A. non-unit-level costs are a high proportion of total overhead cost.
- ☐ B. the firm produces highly diverse products
- ☐ C. overhead is a significant portion of total costs.
- ☒ D. all of the above

Machine setups are an example of batch-level costs. As the number of units in a batch increases, the cost per unit will generally

- ☒ A. decrease.
- ☐ B. stay the same
- ☐ C. increase.
- ☐ D. Cannot be determined from the information given.

Machine set – up would most likely be classified as a _____ cost.

- ☐ A. product – level
- ☐ B. facility – level
- ☒ C. batch – level
- ☐ D. unit – level

Molding and sanding each unit of product would most likely be classified as a _____ cost.

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- ☒ A. unit – level
- ☐ B. product – level
- ☐ C. batch – level
- ☐ D. facility – level

Kepple Manufacturing currently uses a traditional costing system. The company allocates overhead to its two products, Zips and Dees, using a predetermined manufacturing overhead rate based on direct labor hours. Here is data related to the company's two products:

	<u>Zips</u>	<u>Dees</u>
Direct materials per unit	\$120	\$80
Direct labor per unit	\$65.00	\$70.00
Direct labor hours per unit	3	3
Annual production	25,000	45,000

Information about the company's estimated manufacturing overhead for the year follows:

<u>Activities</u>	<u>Activity measures</u>	<u>Estimated overhead cost</u>
Supervision and maintenance	Direct labor hours	\$2,400,000
Batch costs	Number of batches	\$213,500
Engineering changes	Number of engineering hours	\$182,140
Total estimated manufacturing overhead for the year		\$2,795,640

Total estimated direct labor hours for the company for the year are 187,500 hours. The company is evaluating whether it should use an activity – based costing system in place of its traditional costing system. Additional information about production needed for the activity – based costing system follows:

	<u>Zips</u>	<u>Dees</u>	<u>Total Hours</u>
Direct labor hours	75,000	112,500	187,500
Batches	2,200	700	2,900
Engineering hours	2,000	1,200	3,200

The amount of manufacturing overhead that would be allocated to one unit of Zips using the traditional costing system would be closest to (Round all answers to two decimal places.)

...

- ☐ A. \$34.85
☐ B. \$14.91
☐ C. \$37.28
☒ D. \$44.73

The storage of raw materials is considered a value – added activity.

☐ True

☒ False

Which of the following cost of quality categories represent the cost incurred to detect poor quality goods or services prior to consumer delivery in the marketplace?

...

- ☐ A. Value – added activity
- ☒ B. Appraisal costs
- ☐ C. Just – in – time production
- ☐ D. External failure costs

Which of the following is a variable cost?

- ☒ A. A cost that is \$20,000 when production is 50,000, and \$28,000 when production is 70,000
- ☐ B. A cost that is \$40,000 when production is 50,000, and \$40,000 when production is 70,000
- ☐ C. A cost that is \$20,000 when production is 50,000, and \$40,000 when production is 70,000
- ☐ D. A cost that is \$20,000 when production is 50,000, and \$20,000 when production is 70,000

Assume "A" is a fixed cost and "B" is a variable cost. During the current year the level of activity has decreased, but is still within the relevant range. We would expect that:

☒ A. The cost per unit of B has remained unchanged

☐ B. The cost per unit of "B" has decreased

☐ C. The cost per unit of "A" has decreased

☐ D. The cost per unit of "A" has remained unchanged

Mixed costs per unit decrease as volume increases because of the variable cost component.

...

☐ True

☒ False

A(n) _____ cost is a cost whose total amount changes in direct proportion to a change in volume.

...

- ☐ A. mixed
- ☐ B. irrelevant
- ☐ C. fixed
- ☒ D. variable

Some management accounting experts argue that manufacturing costs are not inherently fixed or variable, but rather a function of the manner in which they are contracted. An example of a cost that is traditionally classified as a fixed cost but behaves as a variable cost is:

- ☐ A. the wages of factory workers who are paid based on the number of hours they work, but who do not go home when the factory is idle.
- ☐ B. the salary of a production supervisor who is paid the same salary regardless of the level of production.
- ☒ C. depreciation expense that is based on the number of units produced.
- ☐ D. the wages of an assembly worker who is paid according to a piece rate system.

In a manufacturing company, fixed costs remain the same at many different production levels within the relevant range.

...



True



False

	<u>60,000 units</u>	<u>90,000 units</u>
Cost A	\$75,000	\$75,000
Cost B	\$120,000	\$180,000
Cost C	<u>\$65,000</u>	<u>\$80,000</u>
Total Costs	\$260,000	\$335,000

Cost B is a _____ cost.

-
- ☐ A. mixed
☐ B. sunk
☐ C. fixed
☒ D. variable

Doggie Pals produces 80,000 dog collars each month that give off a fresh scent to keep your dog smelling clean between baths. Total manufacturing costs are \$250,000. Of this amount, \$100,000 are variable costs. What are the total production costs when 155,000 collars are produced? (Assume both production levels are in the same relevant range. Round intermediate calculations to the nearest cent and the final answer to the nearest dollar.)

...

- ☒ A. \$343,750
- ☐ B. \$193,750
- ☐ C. \$43,750
- ☐ D. \$443,750